

VIRTUAL UNIVERSITY OF PAKISTAN

A Good Education is a Foundation For a Better Future

CORRECT ANSWER SOLVED BY HADI
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(Final Term Past Paper)

MADE AND SOLVED BY TEAM HADI

WARNING: Team HADI is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.



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Best of luck!



Question No : 1 of 60

Marks: 1 (Budgeted Time 1 Min)

Wealth can be held in number of other forms but we use to hold money because of which one of the following reason?

Answer (Please select your correct option)

☐ It is the only mode of payment

☐ It is an asset

☒ It is most liquid

☐ It is the only store of value



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Question No : 2 of 60

Marks: 1 (Budgeted Time 1 Min)

In order to understand the link among money, inflation and economic growth. We need to measure which of the following?

Answer (Please select your correct option)

☒ Quantity of money

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☐ Volume of demand deposits

☐ Inflation rates

☐ Interest rates

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Question No : 3 of 60

Marks: 1 (Budgeted Time 1 Min)

The loans made between borrowers and lenders:

Answer (Please select your correct option)

- ☐ Are liabilities to the lenders and assets to the borrowers since the borrower obtains the funds
- ☐ Are assets to the lenders and liabilities of the borrowers since the promises are made to the lenders
- ☐ Are assets to the borrowers as he obtains funds and also the liability to the borrowers as he has to pay it
- ☐ Are not part of either's assets or liabilities until the loans are repaid

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Question No : 4 of 60

Which of the following statements is ***NOT*** correct?

Answer (Please select your correct option)

- ☐ Banks are financial intermediaries
- ☐ Financial intermediary involves in giving loan and accepting deposit
- ☐ All financial intermediaries are insurance companies
- ☐ Financial intermediaries increase the efficiency of the economy

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Question No : 5 of 60

Marks: 1 (Budgeted Time 1 Min)

Which of the following is NOT a function of financial markets?

Answer (Please select your correct option)

☐ Relaying and reacting information

☒ Used as a mean of payment

☐ Allocating resources

☐ Setting prices

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Question No : 6 of 60

Marks: 1 (Budgeted Time 1 Min)

The future value of \$100 left in a savings account earning 4.5% for two and a half years is best expressed by:

Answer (Please select your correct option)

- ☐ \$100(1.045)^{3/2}
- ☐ \$100(0.45)^{2.5}
- ☒ \$100(1.045)^{2.5}
- ☐ 100 x 2.5 x (1.045)



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Question No : 7 of 60

Marks: 1 (Budgeted Time 1 Min)

Which one of the following is the procedure of finding out the Present Value (PV)?

Answer (Please select your correct option)

☒ Discounting

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☐ Compounding

☐ Time value of money

☐ Bond pricing

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Question No : 8 of 60

Marks: 1 (Budgeted Time 1 Min)

What will be the effect on the present value if we double the future value of the payment?

Answer (Please select your correct option)

☐ It will decrease the value by one-half

☐ It will increase the value by one-half

☒ It will equally increase the value i.e. doubles the value

☐ It will have no effect on the value

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Question No : 9 of 60

Marks: 1 (Budgeted Time 1 Min)

The real interest rate is:

Answer (Please select your correct option)

- ☐ The nominal rate plus the expected inflation rate
- ☒ The nominal rate minus the expected inflation rate
- ☐ The nominal interest rate divided by the Consumer Price Index
- ☐ The product of the nominal rate and the Consumer Price Index



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Question No : 10 of 60

Given a choice between two investments with the same expected payoff:

Answer (Please select your correct option)

- ☐ Most people will select the one with the highest variance
- ☐ Most people will opt for the one with the higher standard deviation
- ☐ Most people will be indifferent since the expected payoffs are the same
- ☐ Most people will choose the one with the lower standard deviation

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Question No : 11 of 60

Mr. Ali has a bond, which is issued by local government of Punjab which is *NOT* true for situation?

Answer (Please select your correct option)

☒ He faces tax affects on return on bond

☐ His bond can also be named as municipal bond

☐ He receive interest on that bond throughout life period of bond

☐ Default risk affects its return on bond

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Question No : 12 of 60

Expectation hypothesis focuses on which one of the following?

Answer (Please select your correct option)

☐ Risk premium

☒ Risk free interest rate

☐ Yield to maturity

☐ None of the given options

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Question No : 13 of 60

Which of the following is a role of a financial institution acting as a financial intermediary?

Answer (Please select your correct option)

☒ Pooling the resources of small savers

☐ Formulating oversight regulations

☐ Sending out free calendars at the holidays

☐ Lobbying legislators



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Question No : 14 of 60

_____ is a component of the liability side of the commercial bank's balance sheet.

Answer (Please select your correct option)

☒ Deposits

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☐ Loans

☐ Securities

☐ All of the given options

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Question No : 15 of 60

The procedure that estimates the interest rate sensitivity of a bank's assets and liabilities is called _____.

Answer (Please select your correct option)

☐ Managing credit risk

☒ Gap analysis

☐ Trading risk minimization

☐ Managing liquidity risk



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Question No : 17 of 60

Which of the following is the primary source of funds for Depository institutions?

Answer (Please select your correct option)

- ☐ Short term loans
- ☐ Shares sold to customers
- ☐ Savings and time deposits
- ☐ Commercial papers

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Question No : 19 of 60

"Financial regulations restrict the assets that banks can own". Which one of the following provides the reason for that ?

Answer (Please select your correct option)

- ☐ Because it limits the growth rate of banks
- ☒ Because it combats the moral hazard that government safety nets provide
- ☐ Because it prevents banks from being too profitable
- ☐ Because it keeps banks from spending lavishly on perks for executives

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Question No : 20 of 60

Which one of the following is the supreme regulatory authority for banking sector in Pakistan?

Answer (Please select your correct option)

- ☐ Muslim commercial bank (MCB)
- ☐ State bank of Pakistan (SBP)
- ☐ Habib bank limited (HBL)
- ☐ National bank of Pakistan (NBP)

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Question No : 21 of 60

The specific goals of central banks include all of the following EXCEPT:

Answer (Please select your correct option)

- ☐ High and stable real growth
- ☐ Low and stable inflation
- ☒ High levels of imports
- ☐ Low and stable unemployment rates



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Marks: 1 (Budgeted Time 1 Min)

Question No : 22 of 60

Which one of the following is a primary policy tool of the Central Bank?

Answer (Please select your correct option)

☐ Inflation rate

☐ Open market operations

☒ Interest rate

☐ Money supply



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Question No : 23 of 60

Inflation can be thought of as which of the following?

Answer (Please select your correct option)

- ☐ A decrease in the price of money
- ☐ An increase in the price of money
- ☐ No change in the price of money, just in the supply of money
- ☐ No change in the price of money, just in the demand for money

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Question No : 24 of 60

Excess reserve-to-deposit ratio is a factor that affects the quantity of money. This factor is controlled by which of the following?

Answer (Please select your correct option)

☐ Central bank

☐ Bank regulators

☒ Commercial banks

☐ Non bank public



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Question No : 25 of 60

What kind of relationship is there between rate of inflation and aggregate demand?

Answer (Please select your correct option)

- ☐ Positive relationship
- ☐ Negative relationship
- ☐ Direct relationship
- ☐ Strong relationship

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Marks: 1 (Budgeted Time 1 Min)

Question No : 26 of 60

Aggregate demand curve slopes down because of many reasons which of the following is NOT the reason of its downward slope?

Answer (Please select your correct option)

☐ Higher inflation increases real money balances

☐ Higher inflation induces policymakers to raise the real interest rate

☐ Rising inflation also reduces wealth

☒ Rising inflation lowers consumption



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Marks: 1 (Budgeted Time 1 Min)

Question No : 27 of 60

Which of the following will shift the Aggregate Demand curve to the right?

Answer (Please select your correct option)

- ☐ A decrease in autonomous money demand
- ☐ An increase in Exports
- ☐ An increase in potential output
- ☒ An increase in Government purchases



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Question No : 28 of 60

Which of the following has created an opportunity for small investors to participate in economic activity?

Answer (Please select your correct option)

☒ Mutual funds

☐ Small corporations

☐ Stock brokers

☐ Small investors cannot take part in economic activity

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Question No : 29 of 60

Which of the following could be used as the measure of profitability?

Answer (Please select your correct option)

- ☐ Net profit after tax
- ☐ Net profit before tax
- ☒ Net interest income
- ☐ None of the given options



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Question No : 30 of 60

The two sides of the bank's balance sheet often do not match up this phenomena creates interest rate risk. How?

Answer (Please select your correct option)

- ☐ There is interest-rate risk because liabilities tend to be long term while assets tend to be short term
- ☐ There is interest-rate risk because liabilities tend to be short term while assets tend to be long term
- ☐ There is interest-rate risk because both the liabilities assets tend to be long term
- ☐ There is interest-rate risk because both the liabilities assets tend to be short term

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Question No : 34 of 60

Which of the following is NOT a function of the Central Bank?

Answer (Please select your correct option)

- ☐ Conduct economic research
- ☐ Regulate brokers and insurance companies
- ☐ Evaluate bank mergers
- ☐ These are all functions of the fed.

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Question No : 35 of 60

Difference between _____ and required reserve is the excess reserves.

Answer (Please select your correct option)

- ☐ Deposits
- ☐ Securities
- ☐ Currency
- ☐ Reserve

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Question No : 36 of 60

If we label the quantity of money M and the monetary base MB , the money multiplier m is defined by which of the following relationship?

Answer (Please select your correct option)

☒ $M = m \times MB$

☐ $M = m / MB$

☐ $M = m - MB$

☐ $M = m + MB$

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Question No : 37 of 60

If the monetary base increases, holding bank and public behavior constant, the quantity of money_____.

Answer (Please select your correct option)

- ☐ Decreases
- ☐ Increases
- ☐ Remains constant
- ☐ Incomplete information

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Question No : 38 of 60

_____ the nominal interest rate, the less money individuals will hold for a given level of transactions, and higher the velocity of money.

Answer (Please select your correct option)

- ☐ Lower
- ☒ Higher
- ☐ Stable
- ☐ Incomplete information



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Question No : 39 of 60

The lower the cost of shifting money between accounts, the lower the money holdings and the _____ the velocity.

Answer (Please select your correct option)

- ☐ Lower
- ☒ Higher
- ☐ Stable
- ☐ Incomplete information



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Question No : 40 of 60

Which of the following is/are NOT the determinant(s) of money demand that cause individuals to hold more money?

Answer (Please select your correct option)

- ☐ National income
- ☐ Interest rate
- ☐ Availability of alternative means of payment
- ☐ Velocity of money

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Question No : 41 of 60

Portfolio demand for money goes up as the riskiness of the alternative _____

Answer (Please select your correct option)

☒ Falls

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☐ Rises

☐ Remain stable

☐ Cannot be determined

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Marks: 1 (Budgeted Time 1 Min)

Question No : 42 of 60

Real money balances fall at higher levels of inflation, resulting in a lower level of aggregate demand, the aggregate demand curve is _____.

Answer (Please select your correct option)

- ☐ Vertical
- ☐ Horizontal
- ☐ Upward sloping
- ☒ Downward sloping



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Question No : 43 of 60

The monetary policy reaction curve is set so that when current inflation equals target inflation, the _____ equals the long-run real interest rate.

Answer (Please select your correct option)

☒ Real interest rate



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☐ Nominal interest rate

☐ Effective interest rate

☐ None of the given options

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Question No : 45 of 60

Which of the following reason(s) can shift the short run aggregate supply curve?

Answer (Please select your correct option)

- ☐ Deviation of current output from potential output
- ☐ Changes in external factors driving production costs
- ☐ When current output is equal to potential out put
- ☐ Deviation of current output from potential output and Changes in external factors driving production costs

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Question No : 46 of 60

When current output falls below potential output, creating a recessionary output gap, what will be position of short run aggregate supply curve?

Answer (Please select your correct option)

- ☐ Aggregate supply curve will shift upward
- ☐ Aggregate supply curve will shift downward
- ☐ Aggregate supply curve will shift towards right
- ☐ Aggregate supply curve will shift towards left

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Question No : 48 of 60

Real business cycle theorists explain recessions and booms by looking at fluctuations in _____, focusing on changes in productivity and their impact on GDP

Answer (Please select your correct option)

☐ Target output

☒ Potential output

☐ Target inflation

☐ Potential inflation

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Question No : 49 of 60

If the tax rate is higher then the gap between yield on taxable and tax exempt bond will be:

Answer (Please select your correct option)

- ☐ No gap
- ☐ Any thing can be possible
- ☐ Shorter
- ☒ Wider



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Question No : 51 of 60

Marks: 1 (Budgeted Time 1 Min)

Which of the following are the primary uses of funds of depository institution?

Answer (Please select your correct option)

- ☐ Cash, loans, securities
- ☐ Corporate bonds, government bonds, stocks
- ☐ Commercial paper, bonds, mortgages
- ☐ Mortgages, consumer loans, business loans

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Question No : 52 of 60

Which of the following is NOT pursued by a central bank?

Answer (Please select your correct option)

☐ Low and stable inflation

☐ High and stable real growth

☐ High interest rates

☐ Stable exchange rates

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Marks: 3 (Budgeted Time 6 Min)

Question No : 53 of 60

Describe the role of Central bank as "The Bankers Bank".

Answer (Please [click here](#) to Add Answer)

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100%

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Question No : 54 of 60 Marks: 3 (Budgeted Time 6 Min)

What are the factors on which the size of money multiplier depends?

Answer (Please [click here](#) to Add Answer)

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